

gotten accustomed to spending more and more. Your spending wouldn't have kept up.

If you had taken your earnings out, the business would have been unlikely to grow. Instead, your expenses would have grown, making it even harder to ever build up any real capital.

But let the business grow, and one day you could realize that you've reached the point where your earnings and capital can grow faster than your expenses; you've reached financial escape velocity.

One year, you earn \$100,000. The next, you earn \$300,000. If you act quickly, you can put that extra \$200,000 into a special account, before spending catches up to it.

Another way to reach FEV is by owning assets that can't readily be turned into cash. Timber, real estate, a business itself—these can go up 10 times or more without giving you any easy way of adding to your expenses. You don't do an appraisal or even an up-to-date balance sheet very often. When you do, you're surprised by how much your assets have appreciated. You may feel as though you should increase your spending, but since the assets are not easily converted to cash, you'll be reluctant or even unable to do so.

After a few years of this, you'll find that you have reached FEV without realizing it (which is almost the only way to do so).

The other way to reach FEV is simply to make so much money that your ability to get rid of it is overwhelmed and may even break down.

Of course, there is a big psychological element to this. Ostentation is roughly the divide between old and new money. The *nouveaux riches* seem to want to spend their money to announce to the world that they've "made it." They want to show off, to prove something, to flaunt it.

Old Money is different. It is more likely to drive an old car and wear old, threadbare fashions. Old Money doesn't want to prove anything, except to other Old Money families. Old Money already feels superior. And it cultivates its superiority with its own codes, such as the reluctance to show off wealth.

Since you have to go through the new money stage before you can become Old Money, you have to get through the FEV. Otherwise, the new money disappears in gaudy, showy demonstrations.